Your first ten trades

What a binary contract is, what decides the payout, and how to spend your first ten trades on demo without learning the wrong lesson.

A contract, in one sentence

A binary contract asks one question: will this market be higher or lower than it is now, when the clock runs out? You choose the market, the direction, the stake and the duration. If you are right the payout is fixed and known before you commit. If you are wrong the stake is gone. Nothing about the size of the move changes either number, which is what makes it different from every other instrument you have read about.

Where the payout comes from

A payout of 88% is not a fee schedule, it is a price. It reflects how likely the market is to finish where you say it will, plus the spread the platform takes for standing on the other side. A short duration on a quiet market pays less, because it is easier to call. When you see a payout jump, the market has become harder to predict, not more generous.

The first ten trades

Place all ten on demo, all at the same stake, all on one market, all at the same duration. You are not trying to make money; you are removing every variable but one so you can see your own decisions. Write down why you took each one before the result lands. After ten, read the reasons back. Most people find that four or five had no reason at all beyond impatience.

What to take from it

Three things tell you whether you are ready for the next course: you can state the payout and the duration of a trade before you place it, you can sit through a losing streak without doubling the stake, and you can explain in one sentence why you entered. Nothing in the rest of trading gets easier until those three are automatic.

This is the introduction, not the course.

The full Foundations course carries the lessons, the worked examples and the templates referenced here. It is on the Academy page at obisflow.com/academy.